3-2a Accrued Revenues

During an accounting period, some revenues are recorded only when cash is received. Thus, at the end of an accounting period, there may be revenue that has been earned *but has not been recorded*. In such cases, the revenue is recorded by increasing (debiting) an asset account and increasing (crediting) a revenue account.

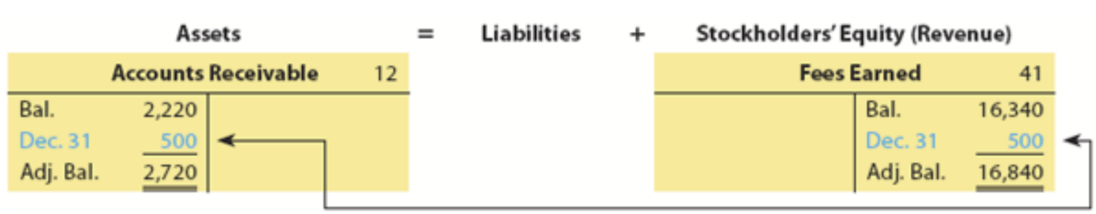
To illustrate, assume that NetSolutions signed an agreement with Dankner Co. on December 15. The agreement provides that NetSolutions will answer computer questions and render assistance to Dankner Co.'s employees. The services will be billed to Dankner Co. on the fifteenth of each month at a rate of $20 per hour. As of December 31, NetSolutions had provided 25 hours of assistance to Dankner Co. The revenue of $500 (25 hours × $20) will be billed on January 15. However, NetSolutions earned the revenue in December.

The claim against the customer for payment of the $500 is an account receivable (*an asset*). Thus, the accounts receivable account is increased (debited) by $500, and the fees earned account is increased (credited) by $500. The adjusting journal entry and T accounts are as follows:

Adjusting Journal Entry

Dec.	31	Accounts Receivable	12	500	
		Fees Earned	41		500
		Accrued fees (25 hrs. × $20).			

Accounting Equation Impact



The adjusting entry is highlighted in the T accounts to separate it from other transactions. After the adjusting entry is posted, Accounts Receivable has a balance of $2,720 and Fees Earned has a balance of $16,840.

If the adjustment for the accrued revenue ($500) is not recorded, Fees Earned and the net income will be understated by $500 on the income statement. On the balance sheet, assets

(Accounts Receivable) and stockholders' equity (Retained Earnings) will be understated by $500. The effects of omitting this adjusting entry are as follows:

	Amount of Misstatement
Income Statement	
Revenues understated by	$ (500)
Expenses correctly stated	XXX
Net income understated by	$ (500)
Balance Sheet	
Assets understated by	$ (500)
Liabilities correctly stated	$ XXX
Stockholders' equity understated by	(500)
Total liabilities and stockholders' equity understated by	$ (500)

Chapter 3: The Adjusting Process: 3-2a Accrued Revenues
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